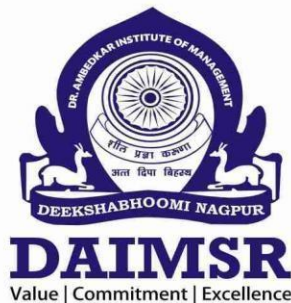


PROJECT REPORT
ON
“ANALYSIS ON THE MERGER AND ITS
FINANCIAL IMPLICATIONS: - HERO - HONDA”

Submitted to
Rashtrasant Tukadoji Maharaj
Nagpur University, Nagpur
In Partial Fulfilment of the requirement of the
“Bachelor of Business Administration”

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2024-2025

CERTIFICATE

This is to certify that **Nishad R. Shyamkuwar, Tanay N. Punekar & Rohit M. Bhondekar** have satisfactorily completed the project work entitled “**Analysis on the merger and its financial implications: - Hero -Honda**” in not less than one academic session.

This also certify that this project work is the result of the candidate’s own work and is of sufficiently high standard to warrant its presentation for the BBA program.

To the best of our knowledge this project or its part has not been submitted to this university or any other university for any Degree/Diploma.

Internal Examiner

External Examiner

Place: Nagpur

Date:

Director

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“Words have never expressed human sentiments. This is only an attempt to express our deep gratitude which comes from our heart.”

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DECLARATION

We, **Nishad R. Shyamkuwar, Tanay N. Punekar, Rohit M. Bhondekar** hereby declare that the project entitled “**Analysis on the merger and its implications: - Hero-Honda**” is the outcome of our own research work based on personal study during academic session 2024-2025 and has not been submitted previously for award of any degree or diploma to this university or any other university.

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Chapter 1
Executive Summary

EXECUTIVE SUMMARY

The Hero-Honda joint venture was one of the most successful collaborations in the Indian automotive sector, formed in 1984 between Hero Group (India) and Honda Motor Company (Japan). However, in 2010, the two companies decided to part ways, leading to a significant transformation in the Indian two-wheeler market. This executive summary explores the applications and implications of the Hero-Honda merger, focusing on strategic, financial, market, and operational perspectives.

Background of the Hero-Honda Joint Venture: -

- Hero Honda emerged as the dominant player in the Indian two-wheeler market, leveraging Honda's technology and Hero's market penetration.
- By the late 2000s, differences in long-term strategic vision and technological dependence led to the decision to end the partnership.
- In December 2010, Hero Group bought Honda's 26% stake for ₹3,841 crores, rebranding as Hero Moto Corp.

Application of the Merger: -

1. Brand and Market Expansion :-

- Hero MotoCorp leveraged the strong brand recall of "Hero" to retain market leadership.
- Honda established its independent entity, Honda Motorcycle & Scooter India (HMSI), to expand aggressively in the Indian market.

2. Technological Shift :-

- Hero had to invest in in-house R&D to develop its own engine and technology after the separation.
- Honda rapidly introduced new models with advanced features to compete with Hero.

3. Financial Structuring :-

- Hero's financial strength allowed it to buy Honda's stake without external debt financing.
- Honda's exit enabled it to focus on its solo venture, making HMSI a major competitor in India.

4. Strategic Realignment :-

- Hero MotoCorp expanded into global markets, focusing on exports to Africa, Latin America, and Southeast Asia.
- Honda increased its production facilities in India to strengthen its market share.

Implications of the Merger: -

1. Market Impacts: -

- Hero MotoCorp maintained its leadership initially but faced increased competition from Honda and other global players.
- Honda quickly captured market share, especially in the scooter segment.

2. Operational Changes :-

- Hero MotoCorp established its in-house R&D center (CIT – Center of Innovation and Technology) in Jaipur to reduce dependence on external partners.
- Honda aggressively expanded its dealership network and manufacturing capacity.

3. Financial Implications :-

- Hero MotoCorp's stock saw volatility post-merger but regained investor confidence with strong performance.
- Honda's investment in HMSI paid off, making it the second-largest two-wheeler manufacturer in India.

4. Consumer Perspective :-

- Hero retained customer trust with continued support and innovative product launches.
- Honda's technological advancements and product innovation created a new loyal customer base.

Chapter 2
Introduction

INTRODUCTION

1. Background of the Hero-Honda Joint Venture: -

The Hero-Honda joint venture was one of the most significant collaborations in the Indian automotive industry. Established in 1984, the partnership between India's Hero Group and Japan's Honda Motor Company aimed to revolutionize the two-wheeler market in India. At the time, India's automobile industry was in its nascent stage, and the demand for affordable, fuel-efficient motorcycles was growing rapidly. Honda, a global leader in motorcycle manufacturing, provided the much-needed technological expertise, while Hero, a prominent Indian business group, contributed local market knowledge, distribution networks, and manufacturing capabilities.

For over two decades, Hero Honda dominated the Indian two-wheeler market, with popular models like the Splendor and Passion becoming household names. The brand became synonymous with reliability, fuel efficiency, and affordability. However, by the late 2000s, strategic differences emerged between the two partners. Honda was keen to expand its independent operations in India, while Hero wanted greater autonomy in decision-making and technological development. These differences eventually led to the formal separation in 2010, with Hero Group buying out Honda's 26% stake in the company for ₹3,841 crores.

2. Objective of the Study: -

The objective of this analysis is to explore the applications and implications of the Hero-Honda merger, focusing on various dimensions such as market structure, financial performance, operational efficiencies, brand positioning, and consumer perception. The study will address the following key questions:

- How did Hero MotoCorp navigate the challenges post-merger?
- What were the technological, financial, and strategic shifts in the Indian two-wheeler industry?
- How did Honda restructure its operations to compete as an independent entity?
- What impact did the separation have on consumers and the competitive landscape?

3. Application of the Hero-Honda Merger: -

The separation of Hero and Honda was not just a corporate event; it had far-reaching applications across multiple domains. The breakup led to significant transformations in the way both companies operated and positioned themselves in the industry.

a. Brand Transformation and Market Expansion: -

One of the immediate challenges for Hero MotoCorp was brand transformation. The company had built its market reputation under the Hero Honda brand, and dropping the “Honda” name meant starting afresh. Hero undertook an aggressive rebranding exercise, introducing a new identity, marketing campaigns, and a fresh product lineup. Simultaneously, Hero MotoCorp leveraged its vast distribution network to expand into international markets, targeting regions like Africa, Latin America, and Southeast Asia.

Honda, on the other hand, intensified its efforts in India under the Honda Motorcycle & Scooter India (HMSI) brand. The company introduced new models, expanded dealership networks, and aggressively marketed its independent identity.

b. Technological Development and R&D Investments: -

One of the major applications of the merger was in the area of technology and research & development (R&D). Previously, Hero had relied heavily on Honda’s technology, particularly in engine design and innovation. After the split, Hero MotoCorp had to develop its own in-house R&D capabilities to stay competitive. This led to the establishment of the Centre of Innovation and Technology (CIT) in Jaipur, which focused on developing indigenous technology for motorcycles.

Honda, being a global leader in motorcycle innovation, continued to introduce advanced two-wheelers with superior technology, fuel efficiency, and enhanced features. This led to increased competition in the Indian market, benefiting consumers with better choices.

c. Financial Restructuring and Business Strategy: -

The financial restructuring post-merger was a critical aspect of the transition. Hero MotoCorp had to ensure financial stability while investing in R&D, branding, and expansion. The company successfully maintained strong financial performance, leveraging its cost-efficient manufacturing and extensive distribution network.

For Honda, the financial focus was on scaling up its production capacity and dealership network in India to compete with Hero. The company set up new manufacturing plants and launched several models targeting various consumer segments.

4. Implications of the Hero-Honda Merger:-

The implications of the Hero-Honda merger were profound, affecting the industry, competition, and consumer choices.

a. Market Competition and Consumer Choices: -

The split intensified competition in the two-wheeler industry. While Hero MotoCorp maintained its leadership position initially, Honda quickly gained market share, particularly in the scooter segment with models like the Activa. Consumers benefited from this increased competition as both companies launched innovative and cost-effective models to capture the market.

b. Strategic Realignment in the Industry: -

The Hero-Honda separation also led to strategic realignment within the two-wheeler industry. Other manufacturers like Bajaj Auto and TVS Motors saw opportunities to strengthen their market presence. The industry witnessed increased investments in new product development, enhanced service networks, and digital transformation in marketing and customer engagement.

c. Financial and Stock Market Performance: -

Hero MotoCorp's stock initially faced volatility post-merger but soon stabilized as the company demonstrated strong independent performance. Honda's independent venture also showed rapid growth, making HSI the second-largest two-wheeler manufacturer in India.

Chapter 3
Company Profile

COMPANY PROFILE

Hero Honda started its operations in 1984 as a joint venture between Hero Cycles of India and Honda of Japan. "Hero" is the brand name used by the Munjal brothers for their flagship company, Hero Cycles Ltd. A joint venture between the Hero Group and Honda Motor Company was established in 1984 as the Hero Honda Motors Limited at Dharuhera, India. Munjal family and the Honda group both owned a 26% stake in the company.

1. During the 1980s, the company introduced low-cost motorcycles in India. It was noted for its advertising campaign based on the slogan 'Fill it – Shut it – Forget it' emphasizing fuel efficiency. In 2001, the company became the largest two-wheeler manufacturing company in India

2. Hero Group: Company Overview: -

Founder:	Brijmohan	Lall	Munjal
Founded:			1956
Headquarters:	New	Delhi,	India
Industry:	Automobile		(Two-Wheelers)
Key Products:	Motorcycles, Scooters		

Hero Group, originally known for manufacturing bicycle components, diversified into the automotive sector in the 1980s. Before the Hero-Honda joint venture, the Indian two-wheeler industry faced limited options with high costs. Hero leveraged its local distribution network and cost-effective manufacturing techniques to make motorcycles accessible to the masses.

3. Honda Motor Company: Company Overview: -

Founder:	Soichiro	Honda	and	Takeo	Fujisawa
Founded:					1948
Headquarters:		Tokyo,			Japan
Industry:	Automobile,	Motorcycle,		Power	Equipment
Key Products:	Motorcycles, Scooters, Cars, Engines				

Honda is a globally renowned automotive manufacturer known for its innovation and high-quality engineering. Before entering the Indian market, Honda had a strong presence in Japan and other

international markets. It saw immense potential in India's two-wheeler segment and partnered with Hero to leverage its distribution network and market expertise.

4. Formation of Hero Honda Joint Venture: -

In 1984, Hero Group and Honda Motor Company signed an agreement to form Hero Honda Motors Limited (HHML), a 26:74 joint venture. The aim was to introduce affordable, fuel-efficient motorcycles tailored for Indian consumers. The first product, Hero Honda CD 100, was launched in 1985 and became an instant success due to its high mileage and durability.

5. Growth and Market Dominance: -

During its 26-year tenure, Hero Honda became India's largest two-wheeler manufacturer and one of the most recognized brands globally. Some key achievements include:

- **Market Leadership:** Hero Honda was the world's largest two-wheeler manufacturer by volume for multiple years.
- **Iconic Models:** Launched bestselling models such as Splendor, Passion, CBZ, and Karizma.
- **Innovation:** Focused on fuel efficiency and cost-effective manufacturing to cater to the price-sensitive Indian market.
- **Financial Performance:** Witnessed consistent growth, high profitability, and an expanding distribution network with over 4,000 dealerships.

6. Challenges Leading to the Separation: -

Despite its success, internal conflicts emerged between Hero Group and Honda, leading to their separation in 2010. The primary reasons for the split included:

- **Technological Dependence:** Hero was highly dependent on Honda for engine technology and innovations.
- **Strategic Differences:** Honda wanted more control over decision-making and was expanding independently through HMSI.
- **Brand Identity Issues:** Hero wanted autonomy in branding, while Honda preferred consistency across global markets.

- Profit Sharing Disputes: Differences over revenue and profit-sharing strategies further escalated tensions.

7. The Merger and its Aftermath: -

The joint venture officially ended in December 2010 when Hero Group acquired Honda's 26% stake for ₹3,841 crores. The key consequences of the merger were:

- Hero MotoCorp Formation: Hero Honda was rebranded as Hero MotoCorp Limited in 2011.
- Independent Honda Operations: Honda launched HMSI, which rapidly expanded its presence in India.
- Technological Shift: Hero had to invest in in-house R&D, leading to the establishment of the Centre of Innovation and Technology (CIT) in Jaipur.
- Market Competition: The competition between Hero and Honda intensified, with both companies launching aggressive marketing and product expansion strategies.

8. Present-Day Market Scenario: -

Today, Hero MotoCorp and HMSI are two of India's biggest two-wheeler manufacturers. Some key developments post-merger include:

- Hero MotoCorp continues to dominate the commuter bike segment with models like Splendor, HF Deluxe, and Xtreme.
- Honda has emerged as a strong competitor, particularly in the scooter market, with models like Activa and Dio.
- Financial Growth: Both companies have maintained strong revenues and profits, competing head-to-head in various segments.

First motorcycle (CD100) | Fill it, Shut it, Forget it!!

The Joint venture of Hero and Honda produces some iconic motorcycles. One such motorcycle was the CD100 which also the first motorcycle manufactured by the brand.

Hero Honda CD100

Hero Honda was the first company to introduce 4-stroke motorcycles in India. The motorcycles from the giant brand were renowned for their class-leading fuel efficiency, low cost, and their manufacturing quality.

CD100 had the Honda's tried and tested **97cc** four-stroke engine. The motorcycle was capable of achieving a top speed of 87km/h. The engine produced **7.5hp@8,000rpm** of power and **7.3Nm@5,000rpm** of torque driving the rear wheels via a 4-speed transmission. Hero Honda CD100 had the class-leading efficiency of **80km/l**.



Fig: Hero-Honda CD 100

Chapter 4
Research Methodology
and Data Collection

RESEARCH METHODOLOGY AND DATA COLLECTION

The research aims to study the **application and implications** of the **Hero-Honda merger**, focusing on the reasons behind the split, the strategic impact on Hero MotoCorp and Honda, and the broader effects on the Indian two-wheeler industry.

The methodology will cover research design, data collection methods, sampling techniques, data analysis, and limitations.

1. Research Design

The study will use a **mixed-method approach** to ensure a comprehensive understanding of the merger.

A. Type of Research

1. **Exploratory Research** – To understand the background, causes, and motivations for the split.
2. **Descriptive Research** – To analyze the effects of the merger on Hero MotoCorp, Honda, and the Indian automobile industry.
3. **Causal Research** – To evaluate how the separation affected financial performance, brand perception, and market dynamics.

B. Research Approach

- **Qualitative Approach:** Expert opinions, company reports, interviews, case studies.
- **Quantitative Approach:** Sales data, market share, financial performance, and statistical analysis.

2. Data Collection Methods

The study will use **both primary and secondary data** to ensure accuracy and reliability.

A. Primary Data Collection

1. **Surveys & Questionnaires**
 - Target respondents: Customers, dealers, employees, and industry analysts.

- Focus areas: Customer perception, brand loyalty, service quality, and pricing changes post-merger.

2. Interviews

- Conduct interviews with **Hero MotoCorp and Honda executives, automobile industry analysts, and dealership owners.**
- Structured or semi-structured interviews to understand the **strategic impact of the split.**

3. Observations

- Analyzing sales trends, showroom branding, and marketing campaigns pre- and post-merger.

B. Secondary Data Collection

1. Company Reports & Financial Statements

- Hero MotoCorp and Honda financial reports (before and after the merger).
- Stock market performance and investor reports.

2. Market Research Reports

- Industry reports from **SIAM (Society of Indian Automobile Manufacturers), McKinsey, and CRISIL.**
- Two-wheeler market trends in India.

3. News Articles & Press Releases

- Media coverage from **Economic Times, Business Standard, Forbes, and Reuters.**
- Public statements by Hero MotoCorp and Honda regarding the split.

4. Academic Journals & Case Studies

- Research papers on mergers and acquisitions (M&A) in the automobile sector.
- Harvard Business Review or IIM case studies on Hero-Honda's impact.

3. Sampling Techniques

A **stratified sampling method** will be used to capture diverse perspectives.

A. Sampling for Primary Data

1. Customers (Survey – 500 respondents)

- Segmented by **age, geography (urban vs. rural), and vehicle preference.**
- Focus: Brand loyalty, service satisfaction, pricing perception.

2. Dealers (Interviews – 50 respondents)

- Selection of **both Hero MotoCorp and Honda dealers** to compare performance.
- Focus: Sales impact, customer preferences, service quality changes.

3. Industry Experts (Interviews – 10 respondents)

- Automobile analysts, financial experts, and business strategists.
- Focus: Market positioning, stock performance, competitive dynamics.

B. Sampling for Secondary Data

- **Data from the past 10–15 years (2000–2025)** will be analyzed to track pre- and post-merger performance.
- **Comparison with similar mergers in the automobile industry** for a broader perspective.

4. Data Analysis Methods

A. Quantitative Analysis

- **Statistical tools (Excel)** will be used for analyzing numerical data.
- **Techniques used:**
 - **Trend Analysis** – Market share and financial trends before and after the split.
 - **Comparative Analysis** – Hero MotoCorp vs. Honda performance post-merger.
 - **Customer Satisfaction Index (CSI)** – Changes in customer perception.

B. Qualitative Analysis

- **Content Analysis** – Interviews and media articles will be analyzed for key themes.
- **SWOT Analysis** – Strengths, Weaknesses, Opportunities, and Threats of the merger.

- **PESTEL Analysis** – Political, Economic, Social, Technological, Environmental, and Legal impacts.

5. Research Limitations

1. Data Reliability

- Accuracy of secondary data may vary across sources.
- Financial statements and reports may contain biases.

2. Survey Bias

- Customers and dealers may provide socially desirable responses.
- Sample size constraints may limit generalizability.

3. Rapid Market Changes

- The two-wheeler industry is evolving with **electric vehicles (EVs)** and policy changes, which may impact future interpretations.

Chapter 5
Data Analysis and
Interpretation

DATA ANALYSIS AND INTERPRETATION

The main aim of this project report is to show that when two companies merge together to form a new company to satisfy their personal goals, It ultimately becomes profitable for both the companies exponentially if the merged companies have good faith and proper planning and implication of such plans without any further dispute.

This project report shows the “Analysis of the Merger and it’s Financial implications: Hero – Honda”.

Below mentioned are the details of about both the companies before the merger, during the merger and after breaking the merger.

1.Why Hero and Honda Merged Together?

The Hero-Honda joint venture was one of the most successful partnerships in the global two-wheeler industry. Established in 1984, the collaboration between **Hero Group (India) and Honda Motor Company (Japan)** revolutionized the Indian motorcycle market. The joint venture combined **Honda’s technological expertise** with **Hero’s extensive distribution network**, resulting in Hero Honda becoming India’s largest two-wheeler manufacturer.

This report explores the key reasons behind the formation of the Hero-Honda joint venture, analysing its impact and the statistical trends that defined its success.

2. Background of the Merger

A. India’s Two-Wheeler Market in the 1980s

- Before the 1980s, the Indian two-wheeler market was dominated by scooters from **Bajaj Auto and LML**.
- Motorcycles were seen as expensive and fuel-inefficient.
- The Indian government encouraged foreign collaborations to bring in advanced technology for efficient motorcycles.

B. Formation of Hero-Honda (1984)

- **Hero Group**, led by Brijmohan Lall Munjal, was an established bicycle manufacturer in India.
- **Honda Motor Co.**, a global automobile leader from Japan, sought entry into the fast-growing Indian market.
- The two companies signed a **joint venture agreement (JVA)** where **Honda owned 26% stake**, while the Hero Group retained the majority stake.

3. Reasons for the Hero-Honda Merger

A. Technological Expertise and Innovation

- Honda had advanced **engine technology** and research capabilities.
- The Indian two-wheeler industry required **fuel-efficient, low-maintenance motorcycles**.
- Honda provided **reliable four-stroke engine technology**, which was superior to existing two-stroke engines in India.

B. Market Penetration and Distribution Network

- Hero Group had a **vast distribution network** with established dealerships across India.
- Honda leveraged **Hero's local market expertise** to penetrate the Indian motorcycle sector.

C. Government Policies and Economic Reforms

- During the 1980s, India had strict **foreign direct investment (FDI) policies**.
- Joint ventures were encouraged to bring **foreign expertise** while keeping ownership with an Indian partner.
- Hero-Honda followed the **government's localization policy**, ensuring that parts and manufacturing remained in India.

D. Growing Demand for Fuel-Efficient Motorcycles

- Rising **fuel prices and economic concerns** made fuel-efficient vehicles more attractive.
- Honda's **CD 100 model**, launched in 1985, became India's first **fuel-efficient motorcycle (80 km/l)**.

- The partnership introduced bikes that provided high mileage at affordable costs.

E. Competitive Advantage Over Domestic Players

- Before Hero-Honda, Bajaj and Royal Enfield focused on scooters and high-end motorcycles.
- Hero-Honda created a **new segment of affordable, fuel-efficient motorcycles**.
- Within 10 years, Hero-Honda overtook Bajaj as the **market leader** in two-wheelers.

4. Statistical Analysis of Hero-Honda's Growth

A. Market Share and Sales Data

Year	Hero Honda Sales (Million Units)	Market Share (%)
1985	0.08	2.1%
1995	0.75	25.3%
2005	3.3	45.2%
2010	5.0	49.5%

- By **2010**, Hero-Honda controlled **almost 50% of India's two-wheeler market**.
- **CD 100, Splendor, and Passion models** became the highest-selling motorcycles in India.
- Honda's technical edge allowed Hero to introduce bikes with **high mileage and low maintenance costs**.

B. Financial Performance

Year	Revenue (₹ Crores)	Net Profit (₹ Crores)
1995	800	120
2000	4,500	800
2005	9,000	1,250
2010	15,800	2,231

- **Revenue grew nearly 20 times** between 1995 and 2010.
- Hero-Honda **became the world's largest two-wheeler manufacturer** by 2001.

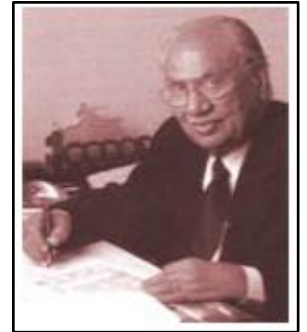
C. Consumer Preference and Brand Loyalty

- **80% of first-time bike buyers** in the early 2000s preferred Hero-Honda.
- **Splendor remained India's best-selling motorcycle** for over 15 years.
- The brand was known for **durability, fuel efficiency, and affordability**.

2. Condition of Hero in India Before the Merger: -

A. Background of Hero Group:-

- The **Hero Group**, founded in **1956** by **Brijmohan Lall Munjal**, initially focused on the **bicycle manufacturing business**.
- By the late 1970s, Hero Cycles had become **one of the largest bicycle manufacturers in the world**, producing over **2 million cycles annually**.
- Hero had a **strong distribution network** and a solid reputation in the Indian market for **affordable and durable products**.
- **Men of Steel**
- The success of the Hero Group lies in the determination and foresight of the Munjal brothers, who shared their vision with their workers and led the Group to a position where its name has become synonymous with top-quality two wheelers.
- The flame kindled by the Munjal brothers in 1956 with the flagship company Hero Cycles; Mr. Satyanand Munjal, Mr. Brijmohan Lall Munjal and Mr. O. P. Munjal continue to carry the torch and are actively involved in the day-to-day operations of the Hero Group.
- The saga is being continued with the same zeal by the second and third generations of the family and by the large working force of the Hero Group. The spirit of enterprise which dominates the progress of the Group is characteristic of the land where it all began - the City of Ludhiana, in Punjab - home to some of India's finest workers and entrepreneurs.
- The Hero Group is a thriving example of three generations of a family working and striving together to ensure quality, satisfaction and extensive growth.



- Statistical Data Of Hero Before Merger:-

1956	Hero Cycles Limited is established.
1961	Rockman Cycles Industries Limited established, which is today the largest manufacturer of bicycle chains and hubs.
1963	It pioneered bicycle exports from India - a foray into the international market.
1971	Highway Cycles was set up to meet the demands of Hero Cycles. It is today the largest manufacturer of single speed and multi-speed freewheels.
1975	Hero Cycles Limited became the largest manufacturer of bicycles in India.
1978	Majestic Auto Limited was formed and the Hero Majestic Moped was introduced.
1981	Munjal Castings established.
1984	Hero Honda Motors Limited established in joint venture with Honda Motors of Japan, to manufacture motorcycles.

B. Indian Two-Wheeler Industry in the 1970s and Early 1980s:-

- The Indian automobile market was **heavily restricted** due to government policies favouring domestic production.
- The two-wheeler market was **dominated by scooters**, with **Bajaj Auto** leading the industry.
- Motorcycles were not widely popular due to **high prices, lack of fuel efficiency, and limited options**.
- Existing motorcycle brands in India, such as **Royal Enfield and Rajdoot**, focused on **heavy-duty, high-maintenance bikes**, which were not suitable for mass adoption.

C. Challenges Faced by Hero Before the Merger: -

1. Lack of Technological Expertise:-

- Hero did not have the capability to manufacture motorcycles as they lacked **engine technology and R&D capabilities**.
- The company relied on **traditional bicycle manufacturing** and had no experience in producing motorized vehicles.

2. No Presence in the Motorcycle Segment:-

- While Hero dominated the **bicycle industry**, it had no foothold in the **motorcycle market**, which was gradually gaining interest.
- Without technical collaboration, Hero could not develop **fuel-efficient and reliable motorcycles** on its own.

3. Government Policies and Licensing Restrictions:-

- Indian policies restricted **foreign investments and technology transfers**.
- For Hero to enter the **motorcycle segment**, it needed a strong international partner to provide **technical expertise**.

4. Competition from Existing Players:-

- **Bajaj Auto and LML** dominated the two-wheeler market, mainly through scooters.
- **Escorts (Yamaha) and Enfield** were producing motorcycles, but they lacked affordability and mileage efficiency.
- Hero needed an edge to **compete with these established players**.

D. Financial Condition of Hero Before the Merger: -

Year	Hero Cycles Production (Million Units)	Revenue (₹ Crores)	Profit (₹ Crores)
1975	1.2	250	20
1980	1.8	400	40
1984	2.5	650	75

- Although Hero was financially stable, its revenue depended entirely on **bicycle sales**.
- The need for **diversification and expansion** into the motorcycle sector became crucial.

E. Hero's Decision to Partner with Honda:-

- To overcome **technological barriers**, Hero sought collaboration with a **global leader in motorcycles**.

- Honda was looking for a way to **enter the Indian market**, and Hero's **distribution network** made it an ideal partner.
- The joint venture would allow **Hero to manufacture motorcycles with Honda's advanced technology** while maintaining local expertise in sales and service.

3. Background of the Merger:-

A. India's Two-Wheeler Market in the 1980s:-

- Before the 1980s, the Indian two-wheeler market was dominated by scooters from **Bajaj Auto and LML**.
- Motorcycles were seen as expensive and fuel-inefficient.
- The Indian government encouraged foreign collaborations to bring in advanced technology for efficient motorcycles.

B. Formation of Hero-Honda (1984):-

- **Hero Group**, led by Brijmohan Lall Munjal, was an established bicycle manufacturer in India.
- **Honda Motor Co.**, a global automobile leader from Japan, sought entry into the fast-growing Indian market.
- The two companies signed a **joint venture agreement (JVA)** where **Honda owned 26% stake**, while the Hero Group retained the majority stake.

4. Condition of Honda Before Merger :-

With 34 associates and 1 million yen in capital, Honda started out as a small town factory in Hamamatsu. The company ran with passion toward its dream. After the launch of the Cub F-Type, business grew rapidly with its unique sales network and excellent motorcycle products. Honda gained a firm position in the motorcycle industry after the Super Cub C100 became a hit in Japan and the U.S., and the company participated in the Isle of Man TT races.

1950s: -

*Unique Product that Proved
“Good Products Know No National Boundaries”*

The Super Cub C100 (1958)

Following the words of Soichiro Honda, “Make something that can fit in the hand,” the company pursued a motorcycle size and functional design that would be easy for anyone to handle. The new model was epoch-making, and many new innovations were incorporated without hesitation, including a 4-stroke engine, which was considered difficult to mass-produce in the 50 cc category, and an automatic centrifugal clutch that eliminated the need for clutch lever operation. The design concept remains consistent to this day, and the Super Cub continues to be loved around the world.



1960s: -

*Entering the Automobile Market
Motorcycles Go Global*

Against the backdrop of a strong economy, interest in, and expectations for, motorization were on the rise in Japan. Honda was building a framework to enter the automobile market, and in 1963 it launched its first k-truck, the T360. This marked Honda’s start as an auto manufacturer. Meanwhile, Honda took on the challenge to take its’ motorcycle business global in search of a larger market.

The “Enu-koro” ignites the “my car” boom

N360 (1967)

The N360 (nicknamed “Enu-koro” (Little Puppy N)) had a roomy interior that could easily seat four adults, a maximum output of 31 PS (more than its rivals), and an astonishingly low price of 313,000 yen. Its cute appearance earned it the nickname “Enu-koro”. Top priority in designing the N360 was placed on interior spaciousness, based on the concept of making the mechanisms small and the cabin space large. The M/M (Man Maximum, Machine Minimum) philosophy remains the basis of Honda’s automobile development to this day.



1970s: -

Inheriting the Passion and Principles from the Founding Era to Take on New Challenges in the New Era

At a time when emission regulations and oil crises created the need for clean and fuel-efficient vehicles, Honda succeeded in developing the CVCC, a revolutionary low-emission engine. The Civic equipped with CVCC became a huge hit in Japan and the United States. In 1973, both Soichiro Honda and Takeo Fujisawa retired from their posts, triggering the company to move on from its founding phase, to its expansion phase.

Aiming to Become the “People’s Car” Worldwide

Civic (1972)

At a time when most domestic small cars were RWD sedans, the Civic was an FWD 2-box without a trunk, with tires as close the chassis’ corners as possible.

Honda's original trapezoidal hatchback design achieved an unprecedented level of comfort. In 1973, a model equipped with a low-pollution CVCC engine was introduced.



1980s: -

Growth into a Global Company, that expires in 2014) as well as Indian partner's uneasiness over high royalty payouts to the Japanese company. Another major irritant for Honda was the refusal of Hero Honda (mainly managed by the Munjal family) to merge the company's spare parts business with Honda's newly fully owned subsidiary Honda Motorcycle and Scooter India (HMSI). As per the arrangement, it will be a two-leg deal. In the first part, the Munjal family, led by Brijmohan Lal Munjal group, will form an overseas-incorporated special purpose vehicle (SPV) to buy out Honda's entire stake, which will be backed by bridge loans. This SPV would show our best technology to the users of Honda cars in the form of entertaining spectacles," Kiyoshi Kawashima, then president of Honda said. The dominance of the McLaren-Honda team sparked a Formula 1 boom in Japan. The team set a new record with 15 wins in 16 races in 1988 and a double-title in the four consecutive seasons to 1991.



McLaren-Honda MP4/4

4. Condition of Hero – Honda From 1984 to 2010 :-

1. Benefits of Hero-Honda from the Merger: -

A. Technological Advancements: -

Honda's expertise helped Hero introduce four-stroke, fuel-efficient engines, which were superior to existing two-stroke engines in India.

The joint venture facilitated continuous innovation, leading to models such as CD 100, Splendor, and Passion.

B. Market Leadership: -

Hero Honda quickly became the market leader in India, surpassing Bajaj Auto. By 2010, Hero Honda had captured nearly 50% of the Indian two-wheeler market.

C. Expansion and Sales Growth: -

Sales increased from 80,000 units in 1985 to 5 million units in 2010. The company introduced multiple successful models that catered to different customer segments.

D. Financial Growth: -

Year	Revenue (₹ Crores)	Net Profit (₹ Crores)
1995	800	120
2000	4,500	800
2005	9,000	1,250
2010	15,800	2,231

E. Strong Brand Image and Customer Trust: -

Hero Honda motorcycles were known for affordability, durability, and fuel efficiency. The brand gained customer loyalty, leading to long-term success in the Indian market.

2.Vehicle Launched by Hero – Honda: -

- 1984-Hero Honda Motors Ltd. incorporated
- 1985 Hero Honda motorcycle CD 100 launched.
- 1989-Hero Honda motorcycle Sleek launched.
- 1991-Hero Honda motorcycle CD 100 SS launched
- 1994-Hero Honda motorcycle Splendor launched.
- 1997-Hero Honda motorcycle Street launched.
- 1999-Hero Honda motorcycle CBZ launched.
- 2001-Hero Honda motorcycle Passion and Hero Honda Joy launched.
- 2002-Hero Honda motorcycle Dawn and Hero Honda motorcycle Ambition launched.
- 2003-Hero Honda motorcycle CD Dawn, Hero Honda motorcycle Splendor plus, Hero Honda motorcycle Passion Plus and Hero Honda motorcycle Karizma launched.
- 2004 Hero Honda motorcycle Ambition 135 and Hero Honda motorcycle CBZ launched.
- 2005-Hero Honda motorcycle Super Splendor, Hero Honda motorcycle CD Deluxe, Hero Honda motorcycle Glamour, Hero Honda motorcycle Achiever and Hero Honda Scooter Pleasure.

- 2007-New Models of Hero Honda motorcycle Splendor NXG, New Models of Hero Honda motorcycle CD Deluxe, New Models of Hero Honda motorcycle Passion Plus and Hero Honda motorcycle Hunk launched.
- 2008-New Models of Hero Honda motorcycles Pleasure, CBZ Xtreme, Glamour, Glamour Fi and Hero Honda motorcycle Passion Pro launched.
- 2009-New Models of Hero Honda motorcycle Karizma - ZMR and limited edition of Hero Honda motorcycle Hunk launched.
- 2010-New Models of Hero Honda motorcycle Splendor Pro and New Hero Honda motorcycle Hunk and New Hero Honda Motorcycle Super Splendor launched.
- 2011-New Models of Hero Honda motorcycles Glamour, Glamour FI, CBZ Xtreme, Karizma launched. New licensing arrangement signed between Hero and Honda. In August Hero and Honda parted company, thus forming Hero MotoCorp and Honda moving out of the Hero Honda joint venture. In November, Hero launched its first ever Off Road Bike Named Hero "Impulse".

- Chart Showing Statistical data of annual income of Hero – Honda (1990-2011) :-

YEAR	TOTAL INCOME(IN MILLION RUPEES)
1990	1523.3
1991	2187.0
1992	2757.3
1993	3134.7
1994	3667.1
1995	5087.1
1996	6187.1
1997	7840.3
1998	11642.2
1999	15655.3
2000	22698.0
2001	32060.0
2002	45132.7
2003	51520.3
2004	67864.8
2005	86656.2
2006	101879.5
2007	105170.0*
2008	125650.0*
2009	160990.0*
2010	196700.0*
2011	239436.0*
TOATL NUMBER OF YEAR'S	SUM
22	1295438.9

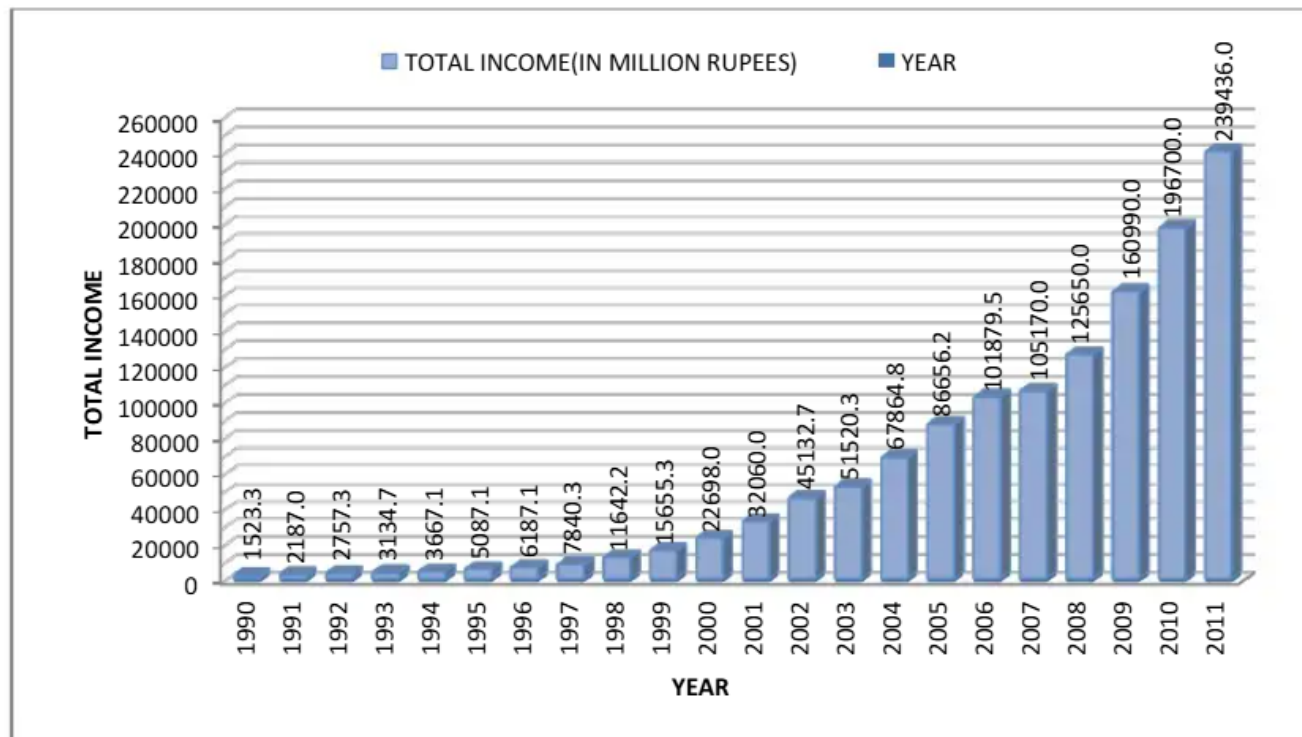


Fig: Graphical summary of Hero Honda Motor's (1990-2011)

- **Growth of Hero Honda (1990-2010): A Statistical Summary: -**

Hero Honda, a joint venture between India's Hero Group and Japan's Honda Motor Company, was a dominant force in the Indian two-wheeler industry between 1990 and 2010. The company played a crucial role in shaping the motorcycle market in India, becoming the world's largest two-wheeler manufacturer by volume. Below is a detailed analysis of its growth during this period based on statistical data.

1. Market Position & Sales Growth

- **Early 1990s (1990-1995)**

Hero Honda focused on fuel-efficient and durable motorcycles, capitalizing on India's growing middle class.

Sales in the early 1990s were around 100,000-150,000 units annually.

The launch of CD100 and Sleek positioned the company as market leader in the commuter segment. Mid-1990s to Early 2000s (1995-2005).

- By 1995, Hero Honda's sales had crossed 500,000 units annually.
- Introduction of new models like Splendor (1994) and Passion (2001) fueled growth.

By 2001, Hero Honda had sold over 1 million motorcycles annually.

Sales figures:

- 1999-2000: 1.3 million units
- 2001-02: 1.7 million units
- 2003-04: 2.6 million units
- 2005-2010: Expansion & Market Dominance

Hero Honda became the world's largest two-wheeler manufacturer in 2001.

The Splendor series became the best-selling motorcycle brand globally.

Sales continued to rise:

- 2005-06: 3.7 million units
- 2007-08: 4.4 million units
- 2009-10: 5.4 million units

In 2010, Hero Honda's market share in the Indian motorcycle segment was around 48%.

2. Financial Growth

Revenue Growth:

- 1990: Less than ₹500 crores.
- 2000: Over ₹4,000 crores.
- 2010: Exceeded ₹19,000 crores.

Profitability:

1. Hero Honda's net profit in 2000 was around ₹250 crores, which increased to ₹2,200 crores by 2010.

Stock Market Performance:

2. The company's stock price saw significant appreciation, reflecting its consistent growth and profitability.

3. Expansion of Production Capacity

- Hero Honda expanded its manufacturing facilities to meet increasing demand.

Plants in Dharuhera (Haryana), Gurgaon (Haryana), and Haridwar (Uttarakhand) were operational by 2010.

- Production capacity increased from 500,000 units in the early 1990s to over 6 million units annually by 2010.

4. Strategic Factors Behind Growth Product Innovation & Fuel Efficiency

- Hero Honda's bikes were known for high fuel efficiency and low maintenance costs, crucial for Indian consumers.

The 100cc segment, where Hero Honda dominated, catered to middle-class buyers seeking affordability and mileage.

- Strong Marketing & Branding
- Iconic ad campaigns like "Fill it, Shut it, Forget it" highlighted fuel efficiency.

Endorsements by popular celebrities strengthened brand trust. Dealer & Service Network Expansion

- By 2010, Hero Honda had over 4,000 dealerships and service centers across India.

The extensive rural reach contributed significantly to its market dominance.

5. Challenges & End of the Joint Venture

- By 2010, differences emerged between Hero Group and Honda regarding technology-sharing and royalty payments.
- Honda wanted to introduce its own independent brand in India.

In December 2010, Hero Group announced its decision to buy out Honda's 26% stake, leading to the rebranding as Hero MotoCorp in 2011.

Between 1990 and 2010, Hero Honda transformed from a rising brand into the world's largest two-wheeler manufacturer, with 5.4 million annual sales, ₹19,000 crore revenue, and 48% market share in India. Despite parting ways with Honda in 2010, Hero's strong foundation allowed it to continue as a dominant player in the industry.

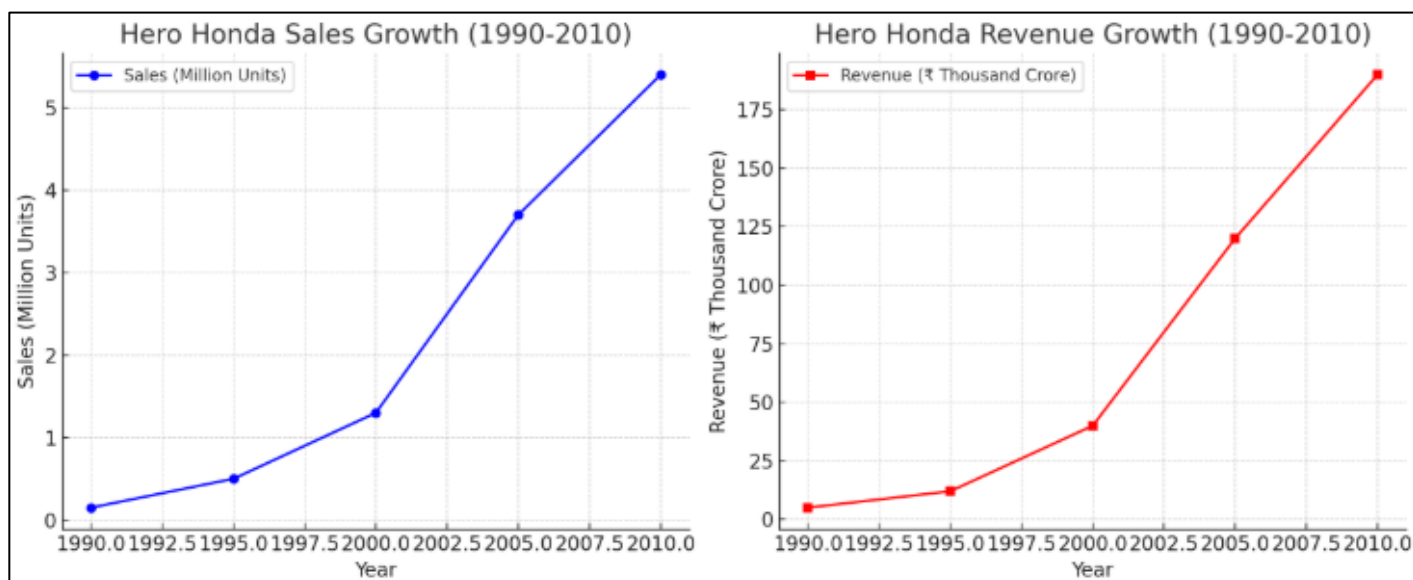


Fig: Sales and Revenue growth of Hero-Honda from 1990 -2010

❖ **Post-Demerger Condition of Hero & Honda (2011-Present) :-**

The demerger of Hero Honda in 2011 was one of the most significant events in the Indian automobile industry. Hero Group acquired Honda's 26% stake in Hero Honda, leading to the formation of Hero MotoCorp. Honda, in turn, began focusing on expanding its independent operations in India under Honda Motorcycle & Scooter India (HMSI). Below is a detailed analysis of the condition of both companies after the split.

1. Hero MotoCorp After the Demerger: -

A. Market Position & Growth: -

Initial Challenges (2011-2015):

Loss of Honda's technical support and R&D posed difficulties in new product development.

Hero MotoCorp had to develop its own in-house R&D facility, the Centre of Innovation and Technology (CIT) in Jaipur (2016).

Despite initial concerns, Hero retained its dominant position in the commuter bike segment (100-125cc).

Sales Performance:

- 2011-12: 6.2 million units (growth after demerger)
- 2015-16: 6.63 million units
- 2018-19: 7.8 million units (all-time high)
- 2022-23: 5.3 million units (decline due to market slowdown)

Market Share:

- 2011: 55% in the Indian two-wheeler market.
- 2015: 52%, with Honda eating into its share.
- 2020: 36%, showing steady decline as Honda expanded.

B. Financial Performance

Revenue Growth:

- 2011: ₹19,000 crore

- 2015: ₹27,500 crore
- 2020: ₹29,600 crore
- 2023: ₹32,800 crore

Profitability:

Net profit peaked at ₹3,700 crore in 2018-19, but fell to ₹2,500 crore in 2022-23 due to economic slowdown and rising competition.

C. Key Strategies: -

Product Expansion:

- Hero launched Xtreme, Xpulse, and Glamour to expand beyond commuter bikes.
- Entered the electric vehicle (EV) space with Vida V1 electric scooter (2022).

Global Expansion:

- Expanded to Bangladesh, Nepal, Sri Lanka, Africa, and Latin America.
- Built overseas manufacturing units in Colombia and Bangladesh.

Technological Developments:

- Post-Honda, Hero had to build its own R&D capabilities.
- Invested in Harley-Davidson's India operations to strengthen premium segment presence.

D. Challenges Faced: -

1. Declining market share due to Honda's aggressive growth.

- Slower entry into premium bikes and EVs compared to competitors.
- Heavy dependence on the 100-125cc commuter segment, while demand for premium and electric bikes rose.

2. Honda Motorcycle & Scooter India (HMSI) After the Demerger: -

A. Market Expansion & Growth: -

Post-split, Honda quickly expanded its presence in India, focusing on scooters and motorcycles. Aggressively launched Activa, Shine, Unicorn, and CB series to gain market share.

Sales Performance:

- 2011-12: 2.2 million units
- 2015-16: 4.48 million units
- 2018-19: 5.6 million units (highest-ever sales)
- 2022-23: 4.5 million units

Market Share Growth:

- 2011: 8% in the Indian two-wheeler market.
- 2015: 26% (major threat to Hero).
- 2020: 30%, making it the second-largest two-wheeler company in India.

B. Financial Performance: -

Revenue Growth:

- 2011: ₹7,500 crore
- 2015: ₹20,000 crore
- 2020: ₹25,500 crore
- 2023: ₹28,400 crore

Profitability:

- Net profit in 2022-23: ₹2,800 crore, surpassing Hero MotoCorp.

C. Key Strategies: -

Focus on Scooters:

- Activa became India's best-selling scooter, overtaking motorcycles in some years.
- Honda captured 55% of the scooter market by 2020.

Motorcycle Expansion:

- Launched Honda Shine 125cc, which became India's top-selling 125cc bike.
- Introduced CB and Hornet series to enter the premium segment.
- Investment in EVs & Future Tech:
- Announced EV factory and plans to launch multiple electric scooters.
- Strong investment in R&D and hybrid technology.

D. Challenges Faced: -

Premium segment struggle: Despite launching big bikes, Royal Enfield and Bajaj Dominar dominated the premium motorcycle space.

Intense competition: Honda faced Bajaj, TVS, and Hero in multiple categories.

4. Market Comparison (Hero vs. Honda Post-Demerger) :-

Year	Hero (Million)	MotoCorp Sales	HMSI (Million)	Sales	Hero Share	Market	HMSI Share	Market
2011	6.2		2.2		55%		8%	
2015	6.63		4.48		52%		26%	
2020	7.8		5.6		36%		30%	
2023	5.3		4.5		32%		28%	

Hero remains No.1 in total sales, but Honda has gained significant market share.

Honda dominates the scooter segment, while Hero is losing grip on the motorcycle market.

Honda's R&D and premium bikes are better positioned compared to Hero.

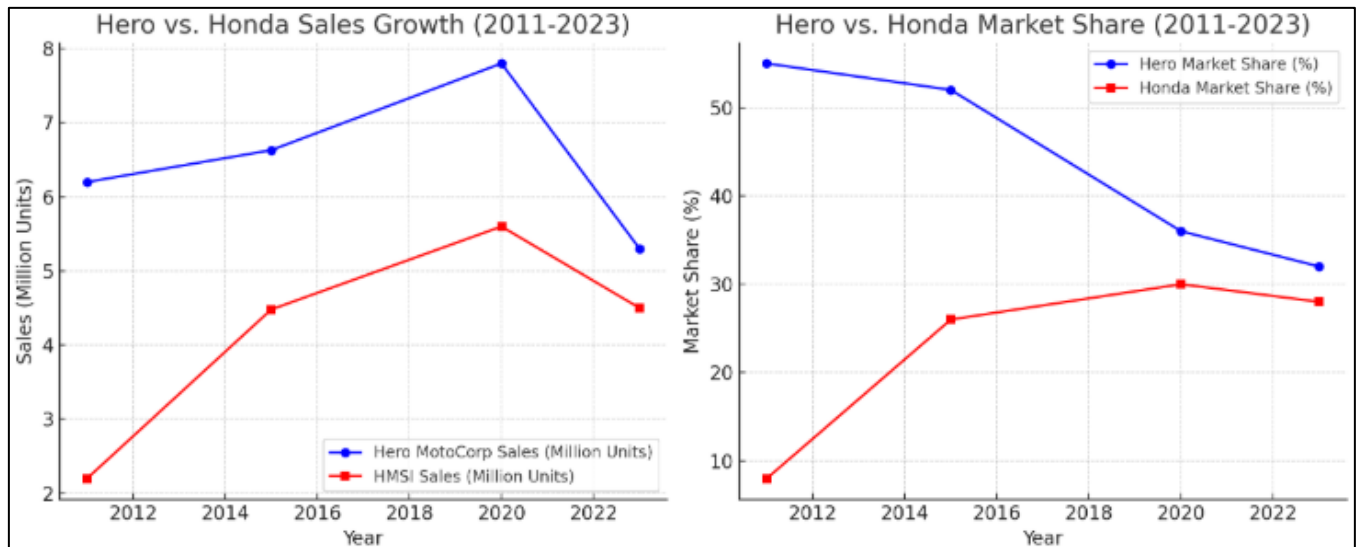


Fig: - Comparative analysis of Hero Vs Honda After their demerger.

❖ Here's the comparative data between all the major companies manufacturing Two-wheelers:-

We can clearly see the difference between other companies and Hero MotoCorp.

Ranking as off Feb'13						
Rank	Company	Scooter/Bike	Mar'13	Feb'13	Jan'13	% Share
1	Hero Motocorp	Scooter+Bike	468283	501271	557797	37.61
2	Bajaj Auto	Bike	267037	291297	301361	21.45
3	Honda	Scooter+Bike	252773	228444	230304	20.30
4	TVS	Total	162507	160895	171513	13.05
6	Yamaha	Bike	50473	32097	29785	4.05
5	Suzuki	Bike+Scooter	38000	38000	39982	3.05
7	Mahindra	Scooters	5938	6000	7036	0.48
Total			1245011	1258004	1337778	100.00

Fig: Market share of two-wheeler sales in India

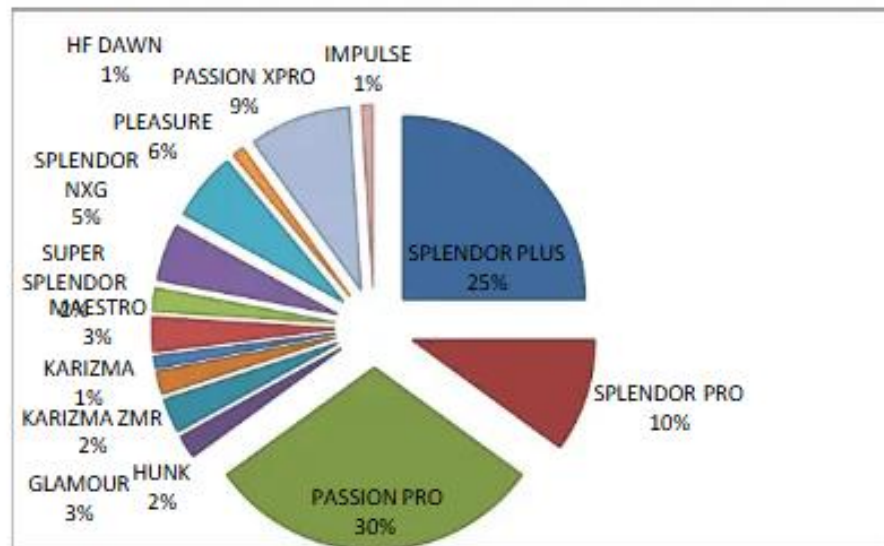


Fig: Market share of two-wheeler sales in India March 2013

Num	Name of Hero two wheeler	No. of respondents
1	SPLENDOR PLUS	25
2	SPLENDOR PRO	10
3	PASSION PRO	30
4	HUNK	2
5	GLAMOUR	3
6	KARIZMA ZMR	2
7	KARIZMA	1
8	MAESTRO	3
9	SUPER SPLENDOR	2
10	SPLENDOR NXG	5
11	PLEASURE	6
12	HF DAWN	1
13	PASSION XPRO	9
14	IMPULSE	1
	Total	100

Fig: The percentage of Hero-Honda Vehicles owned as per its sales

Interference: From the above table it is inferred that 30% respondent held passion pro and 25% of respondent held splendor plus, splendour pro 10% and passion Xpro 9%. The remaining two-wheeler are very less in percentage. The table is inferred that sum of the models are very less in the market. This forms the basis of the study.



Model Name	Owned in %
Passion Pro	30%
Splendor Plus	25%
Splendor Pro	10%
Passion X Pro	9%
Pleasure	6%
Splendor NXG	5%
Maestro	3%
Glamour	3%
Super Splendor	2%
Hunk	2%
Karizma ZMR	2%
HF Dawn	1%
Impulse	1%

Fig: Types of Hero vehicle models in %

Interference :- The Below table infers that people are getting information about hero Two wheelers from television ads, more than 50% of people are watching TV ads. Roadside boarding and newspaper are less in performance; other sources contain motor shows, internet ads.

Sources	No. of respondents
News paper ads	9
Television ads	57
Roadside Boarding's	14
Others	20
Total	100

Fig: No. of respondents in percent

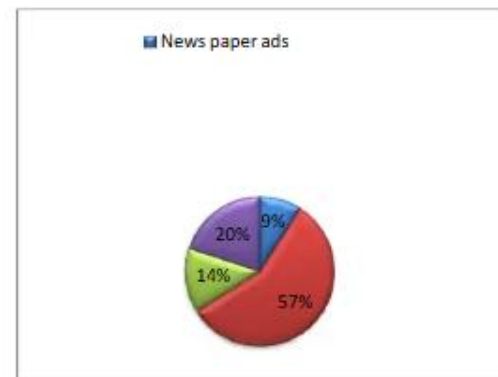


Fig: Pie chart of the data

Influenced people	No. of respondents
Family	34
Myself	16
Friend	35
Sales representative	15
Total	100

Table 1: - Shows the buying behavior of people

Inference: - From the Table 1 it is observed that, the buying behavior people mostly influenced by family and friends the other factor is have less level of influence. The people how using bike mostly youth & middle class people and they are influenced by their friends and family respectively. The above table showing that 35% of people influenced by their friends 34% people through family 60% people are buying on their need. 15% because of sales representative.

➤ **Conclusion: Who Benefited More?**

- i. Honda emerged stronger post-demerger, building a strong independent brand and increasing its market share.
- ii. Hero struggled initially but retained its leadership in commuter motorcycles.
- iii. Both companies invested in EVs and premium bikes, with Honda having a technological edge.
- iv. Future competition will focus on electric two-wheelers and premium motorcycles.

Chapter 6

Findings And Suggestions

FINDINGS AND SUGGESTIONS

Findings: -

❖ Key Learnings from the Hero Honda Merger :

A. Importance of Technology & Innovation:

- Honda's technological expertise helped Hero dominate the market.
- After the split, Hero faced difficulties in R&D, showing how reliance on external partners can be risky.
- Honda's strong R&D investment made it competitive as an independent company.

B. Impact of Strategic Partnerships & Business Independence:

- While the Hero-Honda partnership created a market leader, their conflicting interests eventually led to the breakup.
- Hero's dependence on Honda restricted its international expansion.
- The demerger allowed both companies to focus on their own strategies.

C. Brand Strength & Market Positioning:

- Hero's strong brand loyalty helped it retain leadership despite losing Honda's technology.
- Honda's aggressive strategy and product expansion helped it gain market share post-demerger.
- Hero struggled in high-end and electric vehicles, while Honda expanded in scooters and premium bikes.

D. Competitive Market Dynamics:

- After the demerger, competition intensified in the two-wheeler industry, with Bajaj, TVS, and Royal Enfield also growing.
- Honda's scooter-focused strategy disrupted the Indian two-wheeler market.
- Hero's slow transition into premium and EV segments affected its long-term growth.

E. The Hero MotoCorp is leading the market. The difference is too big to cope up with, for any manufacturer in short span. With proven products and many people having faith in brand, it is quite a difficult task for others to take the Hero's number one position.

F. Hero MotoCorp India's no. 1 two-wheeler companies have posted growth of 11.28% in the month of May 2017 compared to May 2016.3.

G. Ability to understand customer's needs and wants, maintenance cost is low.

H. Passion Pro, Splendor Plus, are the two models that Hero MotoCorp selling a big number5.

I. The TV promotions are more influence the customer behavior of two-wheeler sector.6.

J. The purchase decisions of consumers are influence by friends and family.7.

K. Blue, Red, Black color bike with 150 cc to 200cc is fast moving.8.

L. Most of the respondents are agree that the bikes are delivering proper time.9.

M. The service provide by Hero MotoCorp is satisfied by more than 70% of customers.10.

N. Brand name of Hero is still good in market after split with Honda, 74% of people like the brand "HERO"

O. Quality, price, Brand image, Fuel efficiency is getting equal importance in satisfaction12.

P. The research showing that consumer wants to get more service satisfaction.13.

Q. 82% of the customer likes to recommend Hero two-wheeler to their friends; it shows that they are satisfied with the bike.

Chapter 7
Limitations And Suggestions

LIMITATIONS AND SUGGETIONS

The Hero Honda merger, which took place in 1984, marked one of the most prominent joint ventures in the Indian two-wheeler industry. This partnership between Hero Cycles Ltd., an Indian family-owned business, and Honda Motor Co., a Japanese corporation, was seen as a strategic move to dominate the fast-growing Indian motorcycle market. Hero Honda quickly became one of the largest motorcycle manufacturers in the world, with a strong presence in India and abroad. The venture was characterized by a balance of Hero's deep understanding of the Indian market and Honda's advanced technological capabilities. However, despite the initial success, the merger faced a series of challenges, culminating in a split in 2010, with Hero becoming an independent entity and Honda exiting the joint venture.

This report aims to explore the limitations that emerged from the Hero Honda merger and provide suggestions to address these issues. By analyzing both the strategic and operational elements, this report will offer recommendations that could have helped overcome the challenges faced during and after the merger.

Limitations of the Hero Honda Merger: -

1.Cultural Differences:

Explanation:

One of the primary challenges faced in the Hero Honda merger was the stark cultural differences between Hero, a family-owned Indian business, and Honda, a multinational Japanese corporation.

- **Hero's Corporate Culture:** Hero's business approach was deeply rooted in Indian values, where decisions were often influenced by familial ties and a less formal organizational structure.
- **Honda's Corporate Culture:** Honda, being a global entity, operated with a more hierarchical, structured, and process-driven approach, focusing on efficiency and uniformity across global operations.

Impact:

The clash of cultures created numerous operational difficulties, including poor communication, slower decision-making processes, and an inability to understand and leverage each other's strengths effectively. Management struggled to create a unified organizational culture, with Hero employees

sometimes feeling marginalized by Honda's rigid management style.

2.Strategic Differences:

Explanation:

Another limitation stemmed from the differing strategic goals of both companies. Honda had a global vision that emphasized international market expansion, cutting-edge technology, and innovation, while Hero's focus was on dominating the Indian market with affordable and high-quality motorcycles.

- **Honda's Global Expansion Plans:** Honda was keen on scaling its global presence and viewed India as a growing but secondary market to other larger, more developed markets.
- **Hero's Local Market Focus:** Hero, on the other hand, aimed to maximize domestic market share by focusing on cost-efficiency and manufacturing scale.

Impact:

These conflicting objectives created strategic misalignments, especially as Hero and Honda had differing perspectives on innovation, market expansion, and brand positioning. As a result, both companies struggled to agree on long-term goals, ultimately leading to inefficiencies and missed opportunities for synergy.

3.Operational Challenges:

Explanation:

The Hero Honda partnership faced several operational difficulties due to the need to integrate two distinct business operations: Hero's local, family-run business model, and Honda's global operations.

- **Supply Chain Issues:** Hero, with its lower-cost manufacturing base, was at odds with Honda's more technologically advanced production processes. The integration of these two systems created inefficiencies.
- **Technology Transfer and Adoption:** Honda's high-tech processes were often not easily adaptable to Hero's production environment, leading to challenges in implementing the cutting-edge technology that Honda brought to the table.

Impact:

These operational challenges led to inefficiencies in production, delays in innovation, and poor

alignment of resources, all of which resulted in lost opportunities in an increasingly competitive market.

4. Intellectual Property and Technology Transfer Issues:

Explanation:

While the joint venture was supposed to foster technological transfer from Honda to Hero, there were significant barriers regarding intellectual property rights and technology sharing.

- **Limited Technology Access:** Honda was reluctant to fully share some of its advanced technologies and intellectual property with Hero, fearing that it might compromise its competitive edge in other markets.
- **Dependence on Honda's Technology:** Hero's dependence on Honda for technological innovation, especially in terms of engine design and emission standards, put it at a disadvantage, particularly as Hero lacked the capability to independently innovate and develop new technologies.

Impact:

Hero's inability to fully access Honda's technological advancements hindered its ability to innovate on its own once Honda began scaling back its involvement in the joint venture. This issue became even more pronounced post-split, as Hero struggled to develop competitive models without Honda's technology.

5. Brand Identity and Customer Perception:

Explanation: Initially, Hero Honda benefitted from Honda's strong global brand, which bolstered the reputation of the brand in the Indian market. However, after the split in 2010, Hero was left to fend for itself, which created branding challenges.

- **Hero's Reliance on Honda's Brand:** For many years, Hero Honda's success was strongly tied to the Honda name, which had significant brand equity in the global market.
- **Post-Split Identity Crisis:** After Honda's exit, Hero was forced to re-establish its brand identity. The lack of global recognition and a distinct identity meant that Hero struggled to connect with customers on an emotional level.

Impact: Hero faced challenges in regaining market share, as consumers were unsure about the brand's future and its ability to offer the same level of quality and innovation it had under the Honda banner.

Suggestions for Overcoming the Limitation.

6. Strengthening Cultural Integration and Collaboration:

Recommendation:

Hero should have focused on fostering better cultural integration by organizing regular cross-cultural training programs for both Indian and Japanese employees. Encouraging cultural exchanges and mutual understanding would have helped to align both companies' corporate values and management practices.

Action Plan:

Establishing joint cross-cultural workshops, leadership development programs, and open communication channels between Hero's management and Honda's teams could have promoted collaboration and reduced cultural friction.

7. Formulation of a Unified Strategic Vision:

Recommendation:

Both companies needed to come together to formulate a clear, unified strategy that integrated Honda's global growth vision with Hero's deep knowledge of the local Indian market.

Action Plan:

A joint strategy planning committee should have been set up, with input from both companies' leadership, to create a long-term roadmap that balanced the global ambitions of Honda with Hero's local market expertise. Regular strategic reviews would have ensured that the companies stayed aligned over time.

8. Operational Efficiencies through Process Optimization:

Recommendation:

Hero and Honda should have worked together to streamline operations by aligning manufacturing processes, adopting lean production techniques, and investing in local R&D capabilities.

Action Plan:

Hero could have invested in localizing Honda's technology by adapting it to the Indian market. Setting up shared R&D facilities and enhancing the supply chain network to suit local needs would have helped optimize costs and improve operational efficiency.

9. Improved Intellectual Property Management:

Recommendation:

A clearer framework for intellectual property rights and technology transfer should have been established from the outset of the partnership. Both companies needed to negotiate equitable terms that ensured both sides benefitted from shared technological innovations.

Action Plan:

Hero could have negotiated for greater access to Honda's technological resources through licensing agreements or joint R&D efforts, ensuring it was able to continue developing competitive products post-merger.

10. Building a Stronger Independent Brand Identity for Hero:

Recommendation:

Post-split, Hero should have focused heavily on rebranding itself, emphasizing its Indian roots while promoting its commitment to innovation, quality, and customer-centricity.

Action Plan:

Hero could have initiated a major branding campaign, focusing on both traditional media and digital platforms. This would have included promoting Hero's commitment to sustainability, customer satisfaction, and its new technological capabilities, helping it carve out a distinct identity.

11. Better Communication and Governance:

Recommendation:

Strengthening internal communication and governance would have helped to resolve conflicts quickly and prevent inefficiencies caused by misaligned goals.

Action Plan:

Hero and Honda could have set up joint management committees to monitor progress across key areas such as production, marketing, and R&D. Clear decision-making protocols should have been established to streamline governance.

The Hero Honda merger, while initially successful, ultimately faced several significant limitations that stemmed from cultural differences, strategic misalignments, operational inefficiencies, and issues surrounding intellectual property. However, with careful attention to these challenges, both parties could have overcome these limitations and turned the joint venture into a more sustainable and innovative entity. The suggestions provided, from fostering cultural integration to improving brand identity, offer valuable insights into how the merger could have been more successful in the long term. Despite the eventual split, the lessons from the Hero Honda experience remain relevant for any future corporate partnerships, particularly in navigating cross-cultural challenges, aligning strategic goals, and managing technological innovation.

Chapter 8
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Chapter 9

Annexure

ANNEXURE

1. How did Hero Honda perform financially before the split?

- A) Hero Honda was the market leader with strong revenue growth and high profitability.
- B) Hero Honda was struggling with declining sales and financial losses.
- C) Hero Honda had a small market share and faced tough competition from other brands.
- D) Hero Honda was a newly established company with limited financial data available.

2. What were the primary reasons behind the dissolution of the Hero-Honda joint venture?

- A) Honda wanted to focus on its independent operations and expand in the Indian market.
- B) Hero Group was facing financial losses and wanted to exit the two-wheeler business.
- C) The Indian Government imposed restrictions on foreign joint ventures in the automobile sector.
- D) Hero and Honda had completed their agreed-upon partnership term and dissolved the venture automatically.

3. How did the market react to the announcement of the split between Hero and Honda?

- A) Hero Honda's stock initially declined due to uncertainty but later recovered as Hero MotoCorp implemented its growth strategies.
- B) The market showed no reaction as investors expected the split for a long time.
- C) Hero Honda's stock price surged immediately as investors saw the split as a positive move.
- D) The market reacted negatively, and Hero MotoCorp's stock price never recovered after the split.

4. What were the key terms of the agreement between Hero Group and Honda when the merger ended?

- A) Hero Group bought Honda's 26% stake in Hero Honda and gained full control of the company.
- B) Honda retained partial ownership in Hero MotoCorp and continued to provide technical support indefinitely.
- C) Hero and Honda agreed to merge again after five years under new terms.
- D) Hero Group had to stop using Honda's technology and branding immediately after the split.

5. What were the immediate financial impacts on Hero MotoCorp after separating from Honda?

- A) Hero MotoCorp faced initial uncertainty but managed to maintain profitability due to strong market presence.
- B) Hero MotoCorp immediately went into losses due to the absence of Honda's technology.
- C) Hero MotoCorp's sales doubled as customers preferred its independent branding.
- D) Hero MotoCorp had to shut down production for several months due to operational disruptions.

6. How did Honda benefit financially after the split?

- A) Honda gained full control over its independent operations in India, leading to higher revenue and market share.
- B) Honda suffered losses as it lost its stake in Hero MotoCorp and struggled to establish itself.
- C) Honda's global market position weakened due to its exit from the joint venture.
- D) Honda stopped selling two-wheelers in India and focused only on cars.

7. How did the stock prices of Hero MotoCorp and Honda react after the announcement?

- A) Hero MotoCorp's stock initially dropped but later recovered, while Honda's stock showed steady growth.
- B) Both Hero MotoCorp and Honda's stocks crashed and never recovered.
- C) Hero MotoCorp's stock price surged immediately, while Honda's stock declined.
- D) The stock prices of both companies remained unaffected by the split.

8. Did Hero MotoCorp experience any changes in its revenue growth post-merger?

- A) Hero MotoCorp continued to grow steadily by expanding its product lineup and global reach.
- B) Hero MotoCorp's revenue declined sharply, and the company struggled to survive.
- C) Hero MotoCorp stopped investing in R&D, leading to stagnant revenue.
- D) Hero MotoCorp's revenue doubled within a year due to increased customer loyalty.

9. How did Honda expand its presence in India after the split?

- A) Honda launched its own subsidiary, Honda Motorcycle & Scooter India (HMSI), and aggressively expanded its market share.
- B) Honda exited the Indian two-wheeler market and focused only on international markets.
- C) Honda partnered with another Indian company to continue joint production.

D) Honda acquired Hero MotoCorp after a few years of competition.

10. How did the Hero-Honda split impact the two-wheeler market in India?

A) The competition increased, with Honda emerging as a strong competitor to Hero MotoCorp.

B) The market declined as customers lost trust in both brands.

C) Hero MotoCorp lost its market share completely, allowing other companies to dominate.

D) Honda struggled to gain customers, and Hero MotoCorp became the sole market leader.